STUDY NOTES

Consulting Handbook

Every module on one page each, with diagrams. Each page ends with a line to say out loud in an interview.

1. The Consulting Business
2. Problem Solving
3. The Analyst's Toolkit
4. Storylining & Communication
5. The Case Types Playbook
6. Delivering Change & Client Craft

The Consulting Business

1. What clients actually buy

Clients don't buy slides. They buy a **better decision, made faster and with less risk** than they could manage alone. Five honest reasons they hire consultants:

- **Expertise**: they lack a skill or pattern library (pricing, M&A integration, AI architecture)
- **Capacity**: they know what to do but lack the people to do it in time
- **Objectivity**: an outsider can say what insiders can't, and compare against other companies
- **Speed**: a team that has done it twenty times gets there in weeks, not quarters
- **Legitimacy**: a board or regulator wants an independent view, or a leader needs backing for a hard call
- Ask early: 'what will you do with our answer, and who has to agree with it?'

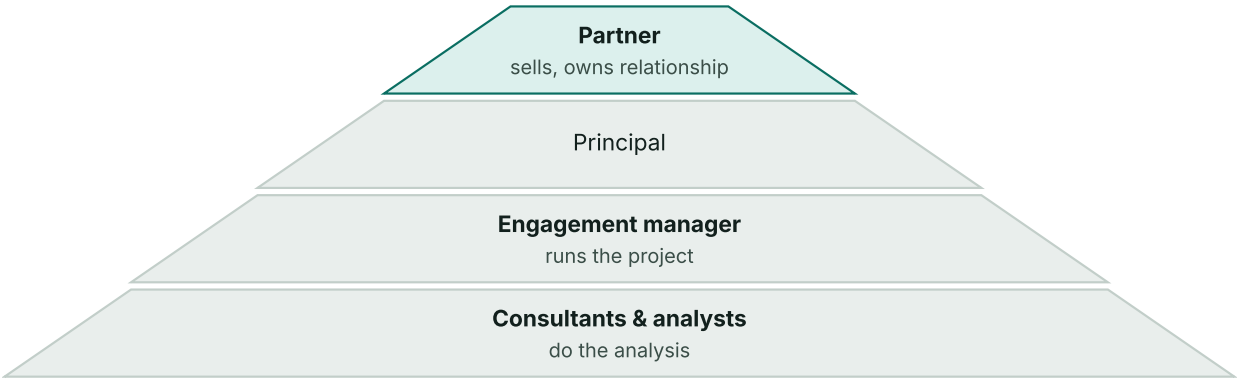
2. The firm landscape

- **Strategy houses (MBB)**: McKinsey, BCG, Bain. CEO-level strategy, growth, M&A, transformation
- **Big Four advisory**: Deloitte, PwC, EY, KPMG (with strategy arms like EY-Parthenon). Strategy through implementation, transactions, risk, tech and tax
- **Implementation & tech**: Accenture, Capgemini, IBM Consulting. Large multi-year programmes
- **Boutiques**: deep niche expertise · **In-house strategy teams**: same methods from the inside
- Practice areas: strategy, operations, technology & digital (incl. AI), organisation & people, transactions, risk & regulation

3. How a firm makes money

- **Leverage pyramid**: partner (sells, owns the relationship) → principal → engagement manager (runs the day-to-day) → consultants and analysts (do the analysis). Juniors carry most hours at lower rates, so the pyramid's shape drives profit
- **Revenue = headcount × utilisation × billing rate × realisation**
- **Utilisation**: share of hours that are billable · **Realisation**: share of billed value actually collected

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The leverage pyramid: its shape drives the firm's profit.

4. Fee models

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Model	How it works	Risk sits with
Time & materials	pay for hours worked	the client
Fixed fee	set price for defined deliverables	the firm
Value-based	part of fee tied to results	shared, needs a baseline
Retainer	recurring fee for access	balanced

Most project work is fixed fee, which is why scope creep matters so much.

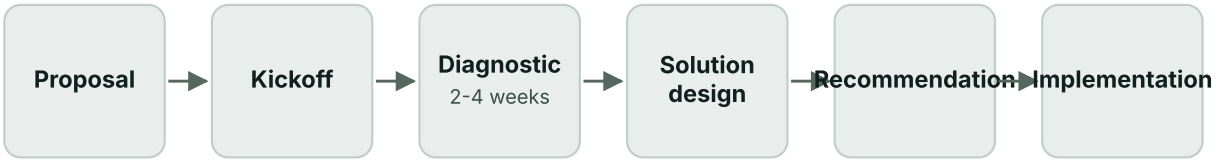
> ⚠ On fixed-fee work every 'small extra analysis' agreed in a hallway is unpaid. Log every request and route out-of-scope work into a change request or phase two.

5. The engagement lifecycle

1. **Origination**: relationship, referral or RFP
2. **Proposal**: situation, objectives, approach, deliverables, team, timeline, fees
3. **Kickoff**: key question, success criteria, governance, data access
4. **Diagnostic**: current state with data, interviews and benchmarks (first 2 to 4 weeks)
5. **Solution design**: develop and test options, size the impact
6. **Recommendation**: final steering committee with an answer, business case and roadmap
7. **Implementation & close**: rollout support, knowledge transfer, follow-on

- **Steering committee** every 2 to 4 weeks; the rule is **no surprises** there, so pre-wire every major finding

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Knowing where you are in the arc tells you what the client needs from you this week.

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"Clients don't buy slides; they buy a better decision, made faster and with less risk than they could manage alone."

Problem Solving

1. Define the problem precisely

Most failed projects solved the wrong problem well. Turn a vague brief into one **key question** that is specific, measurable, action-oriented, relevant and time-bound.

- Weak: 'How can we improve our stores?'
- Strong: 'How can we raise like-for-like store profit by 10% within 18 months without cutting service scores?'
- **Problem statement worksheet**: key question · context · success criteria · scope (in **and out**) · constraints · stakeholders · sources of insight

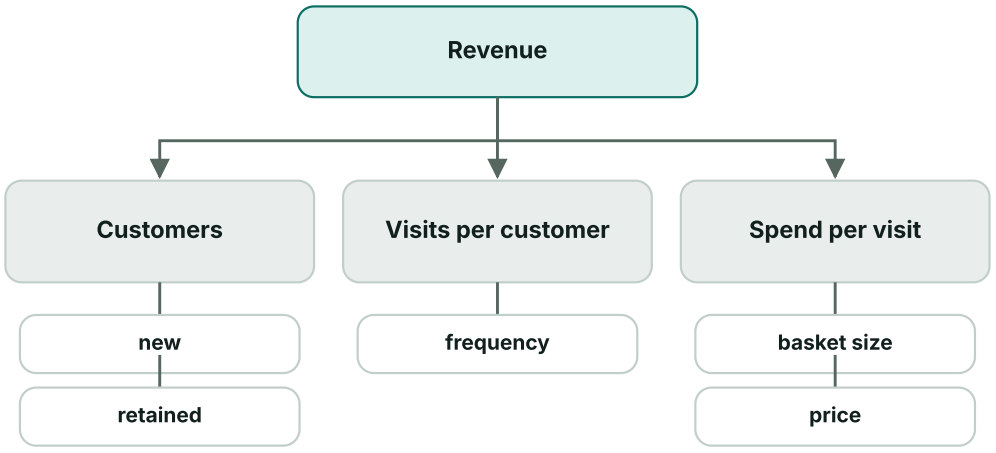
2. SCQ framing

- **Situation**: the stable context everyone agrees with
- **Complication**: what changed or what's wrong
- **Question**: what we must answer as a result
- 'We've led the regional market for a decade (S). A low-cost entrant took 6 points of share in a year (C). How do we respond to protect profit (Q)?'

3. Issue trees

- **Diagnostic** (why is this happening?) · **Solution** (what could we do?) · **Deductive** (what does this equal? e.g. revenue = customers × visits × spend per visit)
- Deductive trees are the most powerful: if the maths holds, they're MECE by construction
- Test MECE: could a fact fall in two branches? Is any cause left out? Go 3 to 4 levels deep, until each leaf is one analysis

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A deductive tree is MECE by construction.

4. Hypothesis-driven work

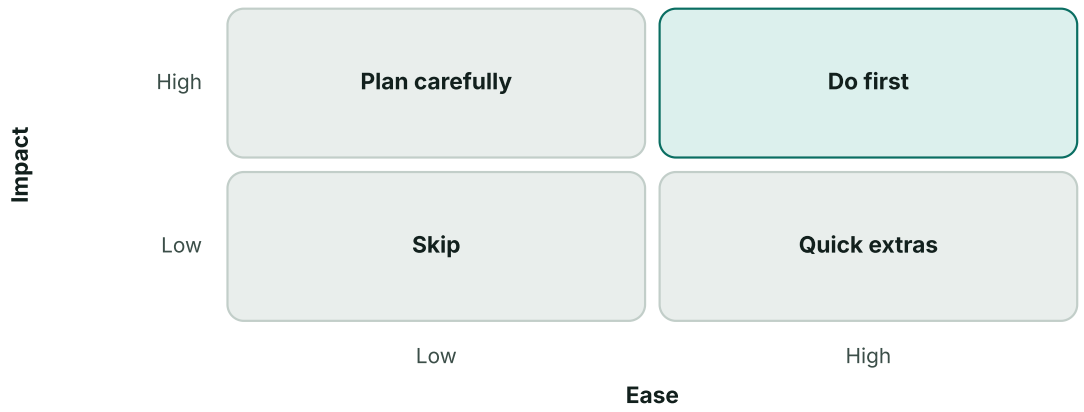
- Restate branches as claims: 'profit fell mainly because input costs rose', supported by 'bean prices rose 20%' and 'we didn't pass costs to price'
- **Day-1 answer**: a best guess at the final recommendation, written on day one, revised as evidence arrives
- **Ghost deck**: the final slide titles drafted on day one with empty charts, to show what must be proven

5. Prioritise and plan

- **80/20**: a few branches hold most of the value · **impact × ease** · 'could any result of this analysis change the decision?'
- **Workplan**: one row per hypothesis: analysis · data source · owner · due date · end product
- Every analysis ends in a **so-what**: 'labour is 30% of cost' is a fact; 'we overstaff mornings by 15%' is a so-what

> ⚠ Don't boil the ocean. Hypothesis first, then the minimum data to test it.

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Prioritise analyses and options by impact and ease.

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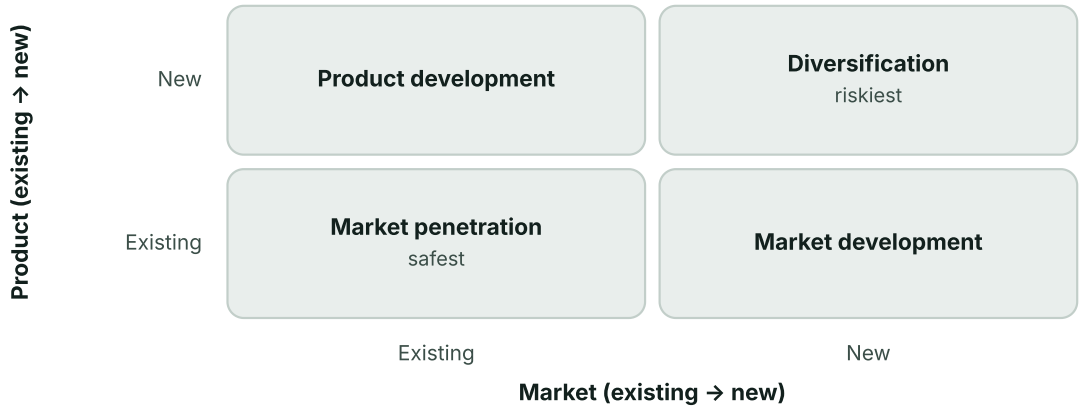
"My Day-1 answer is X. Here's the analysis that would prove or kill it, and here's the ghost deck of what we'd need to show."

The Analyst's Toolkit

1. Strategy frameworks and when each fits

- **Porter's Five Forces**: rivalry, new entrants, substitutes, buyer power, supplier power → industry attractiveness
- **PESTEL**: political, economic, social, technological, environmental, legal → macro scan before entry
- **3Cs**: customers, company, competitors → quick first structure
- **Value chain**: activities from inputs to after-sales → where cost or advantage sits
- **Ansoff**: products × markets → growth options by risk
- **BCG matrix**: growth × relative share (stars, cash cows, question marks, dogs) → portfolio decisions
- **Three Horizons**: core today, emerging next, future options · **McKinsey 7S**: organisational alignment
- **SWOT**: a workshop summary; weak on its own because it lists facts without priorities or actions

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Ansoff: risk rises as you move away from what you know.

2. Financial analysis

- Revenue − COGS = **gross profit**; − operating expenses = **EBITDA** (proxy for operating cash profit)
- **Contribution margin** = price − variable cost per unit
- **Break-even volume** = fixed costs ÷ contribution margin (e.g. $10 price − $6 variable = $4; $2M fixed ÷ $4 = **500,000 units**)
- **Payback**: time until cumulative cash turns positive (ignores time value of money)

- **NPV**: future cash flows discounted at the cost of capital, minus the investment; positive creates value
- **IRR**: the discount rate at which NPV = 0; compare to the hurdle rate
- **CAC** (cost to acquire a customer) · **LTV** (lifetime margin) · rule of thumb LTV:CAC ≥ 3:1, CAC paid back in 12 to 18 months
- Always show **sensitivity**: 'this works as long as adoption exceeds 22%'

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```
Contribution = $10 − $6 = $4 per unit
Break-even = $2,000,000 ÷ $4
= 500,000 units
```

Break-even worked on a whiteboard.

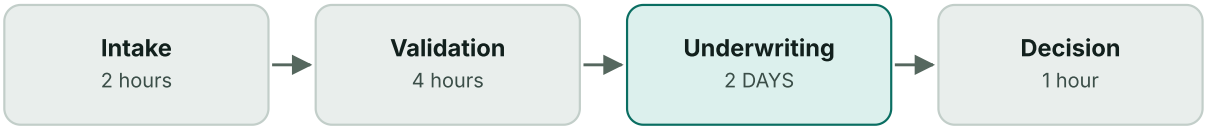
3. Research

- **Client interviews** (front-line staff often know the real cause) · **expert calls** via networks like GLG, AlphaSights, Third Bridge · **customer research** (interviews for why, surveys for how many) · **internal data** (profile it early) · **external data**
- Interview technique: a short guide from your issue tree, open broad then test hypotheses, ask for examples and numbers, close with 'what should I have asked?' and 'who else should I talk to?', write up within 24 hours
- **Triangulate**: confirm every key number two independent ways; when sources disagree, the gap is often the insight

4. Operations and organisation tools

- **Process mapping**: each step, owner, hand-off and wait time (waiting usually dwarfs working)
- **Lean's seven wastes**: transport, inventory, motion, waiting, overproduction, over-processing, defects
- **Bottleneck analysis**: output equals the capacity of the slowest step, so fix the constraint first
- **Benchmarking** · **cost baseline** · **zero-based budgeting** · procurement levers
- **Spans and layers** (reports per manager, levels to the front line) · **RACI** (Responsible, Accountable (one person), Consulted, Informed)

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Speeding up intake changes nothing while underwriting is the bottleneck.

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"Break-even is fixed costs divided by contribution per unit, and I'd always show which assumption the answer is most sensitive to."

Storylining & Communication

1. The storyline is the product

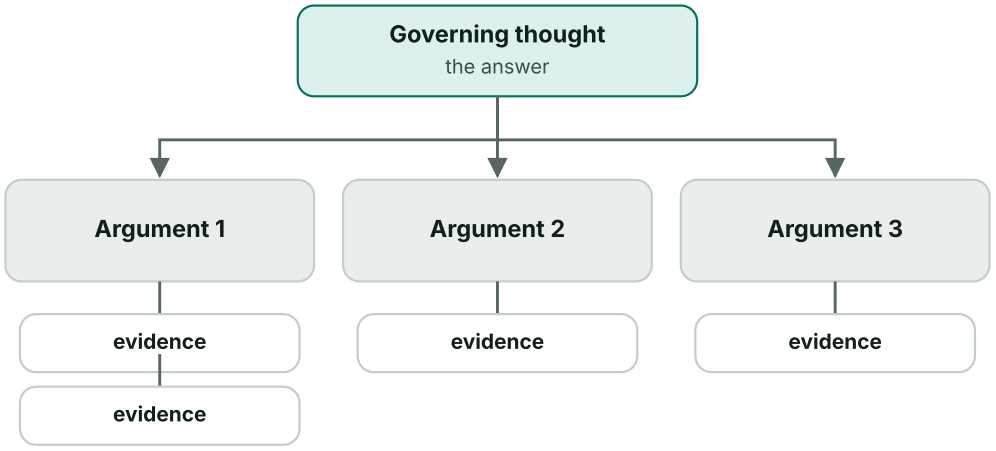
The analysis isn't the product; the **decision** is, and the storyline is how you get the client to make it.

- **SCR**: Situation (accepted context) → Complication (what changed or is at risk) → **Resolution** (your answer). Keep S and C short: their only job is to make the resolution feel necessary

2. The pyramid behind the deck

- **Governing thought**: one sentence that answers the key question
- **Key line**: 2 to 4 supporting arguments, each a full sentence
- **Support**: evidence under each argument
- **Vertical logic**: each level answers the 'why?' or 'how?' raised above it · **Horizontal logic**: arguments at one level are MECE and in a deliberate order

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Answer at the top; reasons; evidence underneath.

3. Executive summary and the dot-dash test

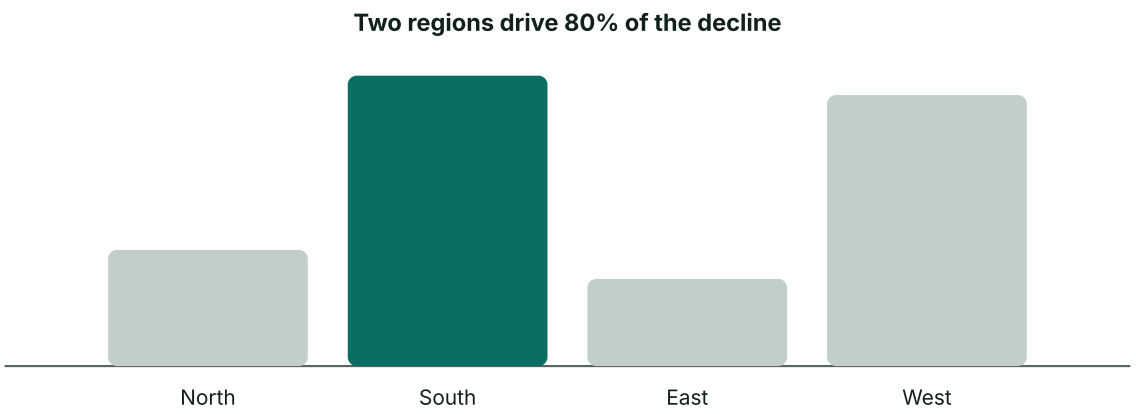
- **Executive summary**: one page that reads as the whole story: the answer, ~3 reasons with key numbers, and what you need from the audience
- **Dot-dash test**: write the storyline as bullets (dots) and sub-bullets (dashes) before any slides. If the dots alone don't convince, no chart design will

4. Slides that carry one message

- **One slide, one message, stated in the title**

- **Action title**: a full sentence stating the so-what. 'Revenue by region' is a label; 'Two regions drive 80% of the decline, both after the 2025 price change' is an action title
- Reading only the titles in order should tell the whole story
- Chart matches the message: bar (compare items), line (change over time), **waterfall** (how one number became another), stacked bar (parts of a whole)
- Highlight the data point the title talks about, grey the rest; label units, source and date; move detail to the appendix

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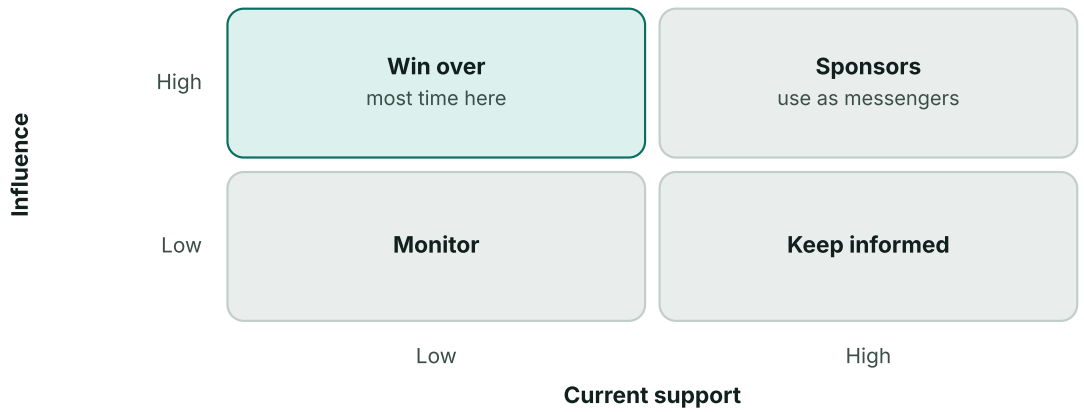


An action title plus one highlighted bar: the body proves the title.

5. Meetings, workshops and stakeholders

- **Stakeholder map**: influence × current support. High influence + low support needs the most time
- **Pre-wire**: walk key people through findings one-on-one before a group meeting
- **Workshops**: one objective, a pre-read, **diverge then converge**, capture decisions with owners and dates the same day
- **Pushback**: get curious first; disagreement on facts → resolve with data; disagreement on priorities → escalate to the decision owner
- Emails **answer-first**: 'We recommend option B; I need your approval by Thursday.'

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Spend your time where influence is high and support is low.

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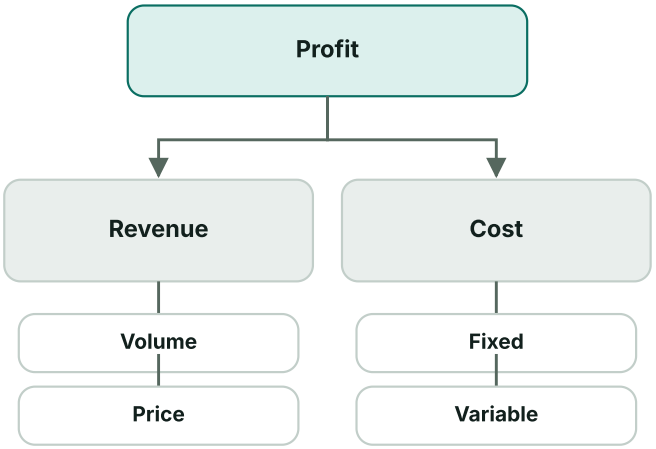
"Reading only the slide titles in order should tell the whole story, and every major finding is pre-wired before the steering committee."

The Case Types Playbook

1. Profitability: why is profit falling?

- **Profit = Revenue − Cost**; Revenue = volume × price (by product, channel, region); Cost = fixed + variable
- Compare against last year and against competitors
- Revenue flat → look at cost and mix; revenue down → split volume from price
- Find the one or two drivers that explain most of the change before suggesting fixes

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Walk the tree branch by branch and size each driver.

2. Growth: how do we grow revenue?

- Existing customers (frequency, basket, share of wallet, churn) · new customers in existing markets · new products for existing customers · new markets · acquisitions and partnerships · **price** (often the fastest, most under-used lever)
- **Revenue growth = market growth + share change**: growing 5% in a market growing 12% means losing ground

3. Market entry and new products

- **Attractive?** (size, growth, margins, regulation, Five Forces) → **Can we win?** (competitors, our capabilities, brand, channels) → **Economics?** (entry cost, unit economics, break-even, NPV) → **Entry mode?** (build, buy, partner)
- Build: control, slow · Buy: fast, expensive, integration risk · Partner: shared risk, less control
- New products: watch **cannibalisation** and run a test-and-learn pilot

- End with **conditions**: 'go, provided we reach 8% share by year three; stop if the pilot shows less than Y'

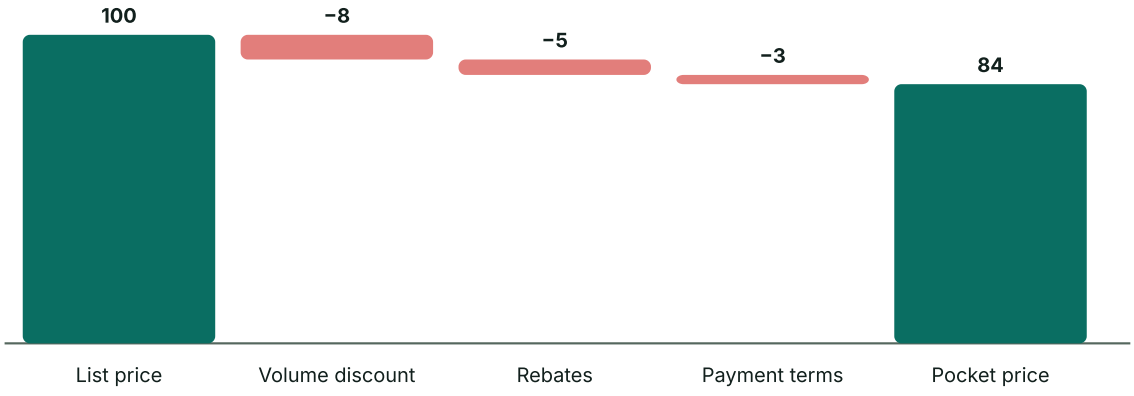
4. M&A and due diligence

- Strategic rationale → target attractiveness → **synergies** → valuation and price → risks and integration
- **Cost synergies** (procurement, overlapping functions) are reliable; **revenue synergies** (cross-selling) are often overestimated, so discount them
- **Commercial due diligence**: is the business plan achievable? Test market growth, share, loyalty, threats, margins
- Valuation: **DCF** (intrinsic), **trading comparables** (EV/EBITDA of listed peers), **precedent transactions** (multiples paid, including a control premium)

5. Pricing

- **Cost-plus** (simple, ignores willingness to pay) · **competitor-based** · **value-based** (captures the most, needs customer insight)
- Cost sets the floor, value sets the ceiling, competitors show where in between you can land
- **Price elasticity**: % change in volume for a 1% price change
- **Price waterfall**: list price down through discounts, rebates and terms to the pocket price actually received
- With a 10% operating margin, a 1% price rise with no volume loss raises profit by about **10%**

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Leakage between list and pocket price is often large and fixable.

6. Cost reduction and unusual cases

- **Baseline** (cost by category, function, driver, vs benchmarks) → **levers** (procurement, operations, organisation, demand) → **prioritise** by effort and risk → **sustain** (track vs baseline, build into budgets)
- Public sector: impact per dollar, define the outcome metric first · Competitive response: size the threat before reacting · Digital and AI: start from outcomes and use cases, then data, capabilities, change
- **Universal fallback**: what's the objective, how is it measured, what drives it, which driver can we move most?

SAY IT

"Revenue growth equals market growth plus share change, so I'd first check which one is moving before suggesting anything."

Delivering Change & Client Craft

1. Why change fails

A recommendation only creates value when people change what they do. Most failed transformations had sound strategy and weak adoption.

- No visible, sustained sponsor · the 'why' never explained · too many initiatives at once · incentives and systems still reward the old way · no early wins
- 'Seventy percent of transformations fail' is folklore; the evidence is weak. The point that **adoption is the hard part** is well supported

2. Two change models

- **Kotter's eight steps** (organisation level): create urgency → build a guiding coalition → form a vision → communicate it → remove obstacles → create short-term wins → build on the change → anchor it in the culture
- **ADKAR** (individual level): **A**wareness of the need · **D**esire to take part · **K**nowledge of how · **A**bility to do it · **R**einforcement to make it stick. Use it to find where a group is stuck

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Adoption stalls at the first missing step; more training only fixes Knowledge.

ADKAR: diagnose where people drop off.

3. Running the programme

- **Steering committee** (decides, removes blockers) · **PMO** (plans, risks, dependencies, benefits) · **workstreams** (each with an owner, plan, milestones, KPIs)
- **RAID log**: Risks, Assumptions, Issues, Dependencies, reviewed weekly
- **RAG status** with honest criteria (an amber that stays amber for months is usually red)

- **Benefits tracking** against the agreed baseline, signed off by finance · **stage gates** with explicit go/no-go criteria
- **Leading indicators** (adoption, compliance, pipeline) warn early; **lagging indicators** (cost, revenue) confirm months later. Track both

> ⚠ **Watermelon reporting**: green on the outside, red on the inside. Escalate early with options, not late with excuses.

4. Client management and trust

- **Trust = (Credibility + Reliability + Intimacy) ÷ Self-orientation** (The Trusted Advisor)
- Agree what 'done' looks like at the start; say yes to the need, then discuss the trade-off for new requests
- Under-promise on timing and deliver early; never surprise the client with a slip
- Deliver **bad news early, in person, with facts and options**: clients forgive bad news, not hiding it
- Protect confidential information, declare conflicts, never shade findings to please a sponsor: **independence is the product**

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$$\frac{\text{Credibility + Reliability + Intimacy}}{\text{Self-orientation}}$$

Focusing on yourself, your firm or the next sale divides everything above the line.

The trust equation.

SAY IT

"Clients forgive bad news; they don't forgive hiding it. I'd bring it early, in person, with the facts and two options to close the gap."